

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR N18
HON. Scott A. Steiner

Date: June 24, 2026

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#	Case Name	Tentative
3.	2021-1178346 HONOR FINANCE, LLC vs. SPIREON, INC.	The general demurrer by Plaintiffs/Cross-Defendants Honor Finance, LLC ("Honor Finance") and Honor Finance Holdings, LLC ("Honor Holdings") (collectively, "Plaintiffs") to the three causes of action alleged in the First Amended Cross-Complaint ("FAXC") filed by Defendant/Cross-Complainant Spireon, Inc. ("Defendant") is overruled in part and sustained in part with leave to amend. <u>First cause of action for express indemnity</u> Express indemnity refers to an obligation that arises by virtue of express contractual language establishing a duty in one party to save another harmless upon the occurrence of specified circumstances and is enforced in accordance with the terms of the contracting parties' agreement. (<i>C.W. Howe Partners Inc. v. Mooradian</i> (2019) 43 Cal.App.5th 688, 699.) A claim for express indemnity is in effect, a claim for breach of contract. (<i>Id.</i>) "An indemnitee seeking to recover on an agreement for indemnification must allege the parties' contractual relationship, the indemnitee's performance of that portion of the contract which gives rise to the indemnification claim, the facts showing a loss within the meaning of the parties' indemnification agreement, and the amount of

	damages sustained.” (<i>Four Star Electric, Inc. v. F & H Construction</i> (1992) 7 Cal.App.4th 1375, 1380.) Defendant alleges new facts in support of Defendant’s FAXC. The Court declines to consider this demurrer as a motion for reconsideration. “A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer.” (Code Civ. Proc., § 430.41, subd. (b).) Plaintiffs demurred to the initial cross-complaint on the ground that Defendant did not alleged sufficient facts to state the three causes of action. The Court declines to find Plaintiffs are demurring on different grounds that could have been raised to the initial cross-complaint. Defendant did not allege sufficient facts to state this cause of action against Plaintiffs. Defendant did not allege performance of that portion of the SSA which gives rise to the indemnification claim. Defendant contends the performance was adequately alleged because the FAXC alleged Defendant sold GPS devices to Plaintiffs for years. (Opposition, 9:16-22.) However, the FAXC does not allege selling the GPS devices was the performance required under the SSAs. Accordingly, the demurrer is sustained with 15 days leave to amend. Defendant did not allege any facts to show Honor Holdings was a party to the SSAs that included the express indemnity provision at issue. Alter ego is a theory of liability. A corporation is regarded as a legal entity separate and distinct from its stockholders, officers, and directors. However, under an alter ego doctrine, when “a corporation is used by an individual or individuals, or by another corporation, to perpetrate fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, a court may disregard the corporate entity and treat the corporation’s acts as if they were done by the persons actually controlling the corporation.” (<i>Robbins v. Blecher</i> (1997) 52 Cal.App.4th 886, 892.) “To prevail on a claim of ‘alter ego,’ a party must show (1) there is such a unity of interest that the separate personalities of the corporations no longer exist; and (2) inequitable results will follow if the corporate separateness is respected.” (<i>Tomaselli v. Transamerica Ins. Co.</i> (1994) 25 Cal.App.4th 1269, 1285.) Factors the Court may consider in determining whether there is a sufficient unity of interest and ownership include commingling of fund and assets, identical
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equitable ownership in the two entities, use of the same offices and employees, disregard of corporate formalities, identical directors and officers, use of one as a mere shell or conduit for the affairs of the other, and inadequate capitalization. (*Highland Springs Conference & Training Center v. City of Banning* (2016) 244 Cal.App.4th 267, 280-281.)

A plaintiff need allege “only ‘ultimate rather than evidentiary facts’” to support an alter ego theory. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 236.) “Courts have followed a liberal policy of applying the alter ego doctrine where the equities and justice of the situation appear to call for it rather than restricting it to the technical niceties depending upon pleading and procedure.” (*Greenspan v. Ladit, LLC*. (2010) 185 Cal.App.4th 1413, 1445.)

Defendant alleged sufficient ultimate facts to support a theory of alter ego. (FAXC, ¶ 11.) Although alter ego was sufficiently alleged, Defendant did not allege sufficient facts to show either plaintiff is obligated to indemnify under the SSA for the reason set forth above. Accordingly, the demurrer as to Honor Holdings is sustained with 15 days leave to amend.

The Court previously overruled Plaintiffs’ demurrer to Defendant’s Cross-Complaint on the ground that Defendant’s cause of action is precluded by public policy under Civil Code section 2773. The Court once again overrules Plaintiffs’ demurrer on the ground that the claim is precluded by Civil Code section 2773. Civil Code section 2773 provides, “An agreement to indemnify a person against an act thereafter to be done, is void, if the act be known by such person at the time of doing it to be unlawful.” Defendant alleges it “had no idea and had no reason to believe that any of these purchases from HF were not legitimate.” (FAXC, ¶ 1.) A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (*See Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (*See Del E. Webb Corporation v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604.)

Plaintiffs also contend for the first time in their reply that Civil Code section 1668 precludes this cause of action. The Court declines to consider this issue raised for the first time on reply without proper notice to Defendant.

Second cause of action for equitable/implied indemnity

Equitable indemnity does not require a contractual relationship and is premised on a joint legal obligation to another for damages. (*C.W. Howe Partners Inc. v. Mooradian* (2019) 43 Cal.App.5th 688, 700.) “The elements of a cause of action for [equitable] indemnity are (1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is ... equitably responsible.” (*Id.*, citing *Bailey v. Safeway, Inc.* (2011) 199 Cal.App.4th 206, 217.)

Defendant’s second cause of action is based on vicarious liability. (FAXC, ¶¶ 4, 13, 32, and 33.) The Court previously overruled Plaintiffs’ demurrer to this cause of action as to Honor Finance.

“[T]he determining factor in ascertaining whether an employee’s act falls within the scope of his employment for respondeat superior liability is not whether the act was authorized by the employer, benefited the employer, or was performed specifically for the purpose of fulfilling the employee’s job responsibilities.... Rather, the question is whether the risk of such an act is typical of or broadly incidental to the employer’s enterprise.” (*Yamaguchi v. Harnsmut* (2003) 106 Cal.App.4th 472, 481-482.) Under the law of respondeat superior, employers may be liable for intentional or malicious torts or criminal acts, done outside the scope of employment, where they arise from the work and are a predictable risk of the work. (*Flores v. Autozone W.* (2008) 161 Cal.App.4th 373, 379, 380; see, *Unruh-Haxton v. Regents of University of California* (2008) 162 Cal.App.4th 343, 368 [An employer may be vicariously liable for the employee’s tort—even if it was malicious, willful, or criminal—if the employee’s act was an outgrowth of his employment, inherent in the working environment, typical of or broadly incidental to the employer’s business, or, in a general way, foreseeable from his duties.])

An employer will not be held liable under the respondeat superior doctrine for conduct that occurs when the employee substantially deviates from the employment duties for personal purposes or acts out of personal malice unconnected with the employment, or where the conduct is so unusual or startling that it would seem unfair to include the loss resulting from it among other costs of the employer’s business. (*Yamaguchi v. Harnsmut*, 106 Cal.App.4th at 482.)

“Ordinarily, the determination whether an employee has acted within the scope of employment presents a question of fact; it becomes a question of law, however, when ‘the facts are undisputed and no conflicting inferences are possible.’” (*Mary M. v. City of Los Angeles* (1991) 54 Cal.3d 202, 213, citing *Perez v. Van Groningen & Sons, Inc.*, (1986) 41 Cal.3d 962, 968.)

		Defendant alleged sufficient facts to state this cause of action against Honor Finance. (FAXC, ¶¶ 1-4,13-16, 19, 20, 23, 24, and 30-34.) As discussed above, Defendant alleged sufficient ultimate facts to support an alter ego theory against Honor Holdings. (FAXC, ¶ 11.) Accordingly, the demurrer as to Honor Holdings is overruled. <u>Third cause of action for declaratory relief</u> To state a cause of action for declaratory relief, Defendant must allege: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations. (<i>Wilson & Wilson v. City Council of Redwood City</i> (2011) 191 Cal.App.4th 1559, 1582.) The Court previously sustained Plaintiffs' demurrer to this cause of action as alleged in the initial cross-complaint on the ground that Defendant did not alleged sufficient facts to state this cause of action against Plaintiffs. The Court noted that although Defendant alleged sufficient facts to state the second cause of action for equitable/implied indemnity against Honor Finance, Defendant did not allege an actual controversy in the Cross-Complaint. For the reasons discussed above, Defendant has not alleged sufficient facts to state this cause of action against Plaintiffs. Although Defendant alleged sufficient facts to state the second cause of action for equitable/implied indemnity against Plaintiffs, Defendant did not allege an actual controversy in the Cross-Complaint. Accordingly, the demurrer is sustained with 15 days leave to amend. Plaintiffs shall give notice.
4.	2025-1481436 Bank of America vs. Bixby	Judgment Creditor Bank of America, N.A. obtained a Judgment against Judgment Debtor Jeffrey Bixby on 9/23/25. Thereafter, Judgment Creditor filed a Notice of Opposition to Judgment Debtor's Claim of Exemption. The claim of exemption, any attached financial statement, and notice of opposition to claim of exemption constitute the pleadings at a hearing to determine a claim of exemption and must be received into evidence. (Code Civ. Proc., § 703.580(a), (c).) "If no other evidence is offered, the court, if satisfied that sufficient facts are shown by the claim of exemption (including the financial statement if one is required) and the notice of opposition, may make its determination thereon. If not satisfied, the court shall order the

		hearing continued for the production of other evidence, oral or documentary.” (Code Civ. Proc., § 703.580(c).) The judgment debtor bears the burden of proof at a hearing on a claim of exemption. (Code Civ. Proc., § 703.580(b).) However, the exemption statutes are liberally construed in favor of the claimant. (<i>Kono v. Meeker</i> (2011) 196 Cal.App.4th 81, 86.) The Court initially continued the hearing because the Sherriff’s packet stated that a claim of exemption was enclosed, and no such claim was included with the packet. (ROA 30.) On 5/22/26, Judgment Creditor filed a declaration, noting that Judgment Debtor never filed a claim of exemption. (ROA 43.) Thus, pursuant to Code Civ. Proc., § 704.080(b)(2), only \$3,500 in the account is exempt. This leaves an excess of \$69,338.90. Because Judgment Debtor did not file a claim of exemption or anything else in this matter, the Court finds that he fails to meet his burden. (Code Civ. Proc., § 703.580, subd. (b).) Accordingly, the Court therefore finds that except for the statutory \$3,500 in Judgment Debtor’s account, the funds held by Judgment Creditor in the amount of \$69,338.90 are not exempt. Judgment Creditor shall give notice.
6.	2024-1411554 Abdullah vs. Figueroa	Cross-Defendants Jose Figueroa and Ayoub Benwali’s (collectively, “Cross-Complainants”) Motion for Terminating Sanctions Against Plaintiff/Cross-Defendant Essam Abdullah (“Abdullah”), and for Monetary Sanctions, is granted in part and denied in part. The request for terminating sanctions is denied. The request for monetary sanctions is granted. <u>Procedural Issues</u> Cross-Complainants filed a 190-page motion, including 32 exhibits, and failed to include any electronic bookmarks. (Cal. R. Ct. Rule 3.1110(f)(4).) Abdullah’s 65-page opposition includes <i>some</i> bookmarks, but he also failed to substantially comply with Rule 3.1110(f)(4). The parties are admonished that, for any future filings, failure to present their papers in compliance with the Rules may result in the Court’s refusal to consider the non-compliant papers. <u>Merits</u> Cross-Complainants move for terminating sanctions, striking Abdullah’s complaint, striking Abdullah’s answer to their cross-complaint, and for \$18,970.10 in monetary sanctions. (ROA 141.)

CCP section 2023.030 outlines the various sanctions that may be imposed “against anyone engaging in conduct that is a misuse of the discovery process,” including: monetary sanctions, issue sanctions, evidence sanctions, a terminating sanction, and a contempt sanction. These sanctions may be imposed by the court, “after notice to any affected party, person, or attorney, and after opportunity for hearing.” (Code Civ. Proc., § 2023.030.) Among other acts, disobeying “a court order to provide discovery” and “failing to respond or to submit to an authorized method of discovery,” are misuses of the discovery process and conduct that is subject to sanctions. (Code Civ. Proc. § 2023.010, subd. (d), (g).) “Once a party or witness has been *ordered* to attend a deposition, or to answer discovery, or to produce documents, more severe sanctions are available for continued refusal to make discovery.” (Cal. Prac. Guide Civ. Pro. Before Trial at ¶ 8:2145 [emphasis in original].)

Many courts have found that terminating sanctions should be imposed only if the court has found a willful failure to comply. (See *Valencia v. Mendoza* (2024) 103 Cal.App.5th 427, 447; *R.S. Creative, Inc. v. Creative Cotton, Ltd.* (1999) 75 Cal.App.4th 486, 496.) The trial court has “broad discretion in selecting the appropriate penalty,” and its determination should be upheld “absent an abuse of discretion.” (*Lopez v. Watchtower Bible & Tract Society of New York, Inc.* (2016) 246 Cal.App.4th 566, 604.) Nevertheless, terminating sanctions “are to be used sparingly, only when the trial court concludes that lesser sanctions would not bring about the compliance of the offending party.” (*R.S. Creative, Inc. v. Creative Cotton, Ltd.* (1999) 75 Cal.App.4th 486, 496.) The burden of showing sanctions are not justified (i.e., that the responding party did not willfully fail to perform) lies with the responding party. (See *Corns v. Miller* (1986) 181 Cal.App.3d 195, 201.)

Here, Cross-Complainants have demonstrated that Abdullah failed to comply with the court’s 4/22/26 discovery order, which commanded Abdullah’s deposition to proceed “by no later than May 14, 2026.” (ROA 135.) Cross-Complainants’ (sixth amended) notice of deposition gives notice of taking Abdullah’s deposition, in-person, at counsel’s office. (Knafo Decl., Exh. 19.) Abdullah did not serve any objections to the notice. (Knafo Decl. at ¶ 28.) Immediately following the IDC on 4/22/26, Abdullah’s counsel requested that his deposition be taken via Zoom, but Cross-Complainants’ counsel did not agree to the request. Abdullah’s counsel requested Cross-Complainants to reconsider the request, on 4/23/26, but, against, Cross-Complainants’ counsel rejected the request. (Knafo Decl. at ¶¶ 30-31, Exhs. 20-21.) Thereafter, Abdullah’s counsel requested Cross-Complainants’ counsel travel to his office for Abdullah’s deposition, but Cross-Complainants’ counsel declined to do so. (Knafo Decl. at ¶¶ 11-13, 32, Exhs. 7, 22.) Nevertheless, on the day

of the deposition, Abdullah attempted to appear via Zoom and insist that he be allowed to proceed remotely. (Knafo Decl. at ¶ 34, Exh. 24.) At that time, Abdullah's counsel presented (for the first time) an undated "medical record" from a nurse practitioner who recommended that his deposition be taken remotely. (Knafo Decl. at ¶¶ 35, 37, Exhs. 25-26.) Abdullah also testified that he gets "severe anxiety when he leaves a ten-mile radius." (Knafo Decl. at ¶ 36.)

In his opposition, Abdullah claims he "did in fact appear for his deposition," and, as such, "there is no violation of a court order and no grounds for terminating sanctions." (Opp'n at p. 2.) The Court disagrees. Nothing in the 4/22/26 discovery order indicates that Abdullah was allowed to deviate from the parameters of the noticed deposition, and unilaterally decide to appear via Zoom. Under the Code, "Any party served with a deposition notice that does not comply with Article 2 (commencing with Section 2025.210) *waives any error or irregularity* unless that party promptly serves a written objection specifying that error or irregularity at least three calendar days prior to the date for which the deposition is scheduled." (Code Civ. Proc., § 2025.410, subd. (a) [emphasis added].) Further, Rule 3.1010 provides, "any party, *other than the deponent*, or attorney of record may appear and participate in an oral deposition by telephone, videoconference, or other remote electronic means"; however, "a deponent *must* appear as required by statute or as agreed to by the parties and deponent." (Cal. R. Ct., Rule 3.1010(b), (c) [emphasis added].)

Abdullah does not dispute Cross-Complainants' representation that he did not serve any objections to the subject deposition notice. Abdullah did not comply with the deposition notice, or the discovery order, by unilaterally deciding that he would appear remotely (via Zoom), after he failed to object to the deposition notice or file a motion (*prior* to the deposition) for an order allowing him to attend it remotely.

Yet, despite this violation, the Court agrees with Abdullah's second contention, that "extreme terminating sanctions" are not warranted. (See Opp'n at p. 4.) Aside from failing to appear in-person at his duly-noticed deposition, there is not enough evidence to find Abdullah is unwilling to provide discovery or to participate in this action. Thus, the request for terminating sanctions is denied.

On the other hand, because Abdullah acknowledges he was already expressly warned by Judge De La Cruz about the possibility of "severe monetary sanctions," the Court finds the requested monetary sanctions are warranted. The supporting declaration from Cross-Complainants' counsel, and exhibits attached thereto, show that Cross-Complainants incurred \$5,720.10 in costs, and \$13,250.00 in attorney's fees, as a result of Abdullah's failure to

		comply with valid deposition notices, including the subject notice that resulted in the discovery order. (Knafo Decl. at ¶¶ 41-46, Exhs. 29-32.) Abdullah has not opposed the reasonableness of the monetary sanctions sought or otherwise challenged that Cross-Complainants incurred these fees and costs as a result of his failure to comply with valid deposition notices. Accordingly, Cross-Complainants are awarded \$18,970.10, in reasonable attorneys' fees and costs, against Abdullah, only. (Code Civ. Proc., § 2023.030, subd. (a).) The sanctions are payable within 90 days of the notice of ruling to Ghosland Law Firm. Cross-Complainants are ordered to give notice of the ruling.
7.	2026-1549234 Roe vs. Doe 1, Religious School	Plaintiff John VJP Roe ("Plaintiff") seeks an order sealing Plaintiff's Certificates of Merit and allowing Plaintiff to proceed under a fictitious name. Plaintiff's complaint alleges he was sexually assaulted as a minor. Every plaintiff 40 years of age or older at the time the action is filed is required to file certificates of merit. (Code Civ. Proc., § 340.1, subd. (e).) "The court shall review the application and the certificate of corroborative fact in camera and, based solely on the certificate and any reasonable inferences to be drawn from the certificate, shall, if one or more facts corroborative of one or more of the charging allegations against a defendant has been shown, order that the complaint may be amended to substitute the name of the defendant or defendants." (Code Civ. Proc., § 340.1, subd. (m).) "The court shall keep under seal and confidential from the public and all parties to the litigation, other than the plaintiff, any and all certificates of corroborative fact filed pursuant to subdivision (l)." (Code Civ. Proc., § 340.1, subd. (n).) Plaintiff's motion to seal the Certificates is granted. Due to the sensitive nature of the allegations of this case and Plaintiff's right to privacy, Plaintiff's request allowing him to proceed under a pseudonym is granted. (<i>See, Doe v. Lincoln Unified School Dist.</i> (2010) 188 Cal.App.4th 758, 766.) Plaintiff shall give notice.
8.	2026-1550175 Taylor vs. Hyundai Motor America	Defendant Hyundai Motor America's motion to compel arbitration of Plaintiff James Taylor's claims is denied. Defendant's request for judicial notice is denied as it is unnecessary to ask the court to take judicial notice of materials previously filed in this case. "[A]ll that is necessary is to call the court's attention to

such papers.” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2023) ¶ 9.53.1a.)

Plaintiff’s Complaint alleges a single cause of action for violation of Song-Beverly Act – Breach of Express Warranty arising out of his purchase of a 2021 Hyundai Palisade.

When he purchased the vehicle, it was enrolled in Hyundai’s Bluelink Services.

The Bluelink Connected Services Agreement included an arbitration provision stating that “Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law.” (Rao Decl., ¶ 6. Ex. 2.)

Under both the Federal Arbitration Act and California arbitration law, the Court must determine whether an agreement to arbitrate exists. (See *Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59 (“when presented with a petition to compel arbitration, the court’s first task is to determine whether the parties have in fact agreed to arbitrate the dispute.”).)

While the arbitration clause in the CSA does state that it applies to disputes relating to “your Vehicle,” Defendant has not shown that Plaintiff’s claims here are related to the bluelink/connected services in the vehicle.

The scope of an arbitration clause “turns on whether the ... claims are ‘rooted’ in the contractual relationship between the parties.” (*Ahern v. Asset Management Consultants, Inc.* (2022) 74 Cal.App.5th 675, 692; citation omitted.) In other words, to be arbitrable, the subject claims must have their roots in the relationship between the parties that was created by the contract containing the arbitration provision. (*Id.* at 692-693.)

“[E]ven under a very broad arbitration provision ... tort claims must ‘have their roots in the relationship between the parties which was created by the contract’ before they can be deemed to fall within the scope of the arbitration provision.” (*Rice v. Downs* (2016) 248 Cal.App.4th 175, 188; other internal citations and quotation marks omitted].)

		Given that Plaintiff seemingly does not allege any defects or issues with the Connected Services, this arbitration provision is not applicable. Plaintiff's claims do not arise out of the relationship created by the CSA. Furthermore, Plaintiff declares in opposition that he never saw or consented to the CSA because when he purchased the car, a dealership employee used Plaintiff's phone to set up Bluelink on his behalf and did not inform Plaintiff of the arbitration clause in the agreement that he agreed to on Plaintiff's behalf. (Taylor Decl., ¶¶ 7-12.) Defendant submits a declaration in reply stating that in order to <i>continue</i> using the Bluelink services after an update, Plaintiff would have had to click the box to acknowledge that they "read and agree[d] to the Blue Link Terms & Conditions." (Rao Rely Decl., ¶ 3.) However, no evidence of this is provided with the declaration. Defendant has not demonstrated Plaintiff's knowledge of and assent to the CSA. (See <i>Herzog v. Superior Court</i> (2024) 101 Cal.App.5th 1280, 1293-1294; <i>B.D. v. Blizzard Entertainment, Inc.</i> (2022) 76 Cal.App.5th 931, 944.) Based on the foregoing, Defendant's motion to compel arbitration is denied as Defendant has not shown the arbitration agreement in the CSA applies to Plaintiff's claims or is enforceable given Plaintiff's lack of notice and assent. Plaintiff shall give notice.
9.	2023-1331349 Lowe vs. Haverkamp	The motion of defendants Peter Gene Haverkamp and Peter Gene Haverkamp dba Southern Counties Construction for summary judgment on plaintiff John Lowe's complaint is denied. <u>Facts</u> This is a negligence action for injuries suffered by Plaintiff, an employee of subcontractor Beach Cities Glass, Inc., when he fell from scaffolding while installing glass on a home in the backyard. He alleges that Defendants, the general contractor, failed to correctly install, inspect and maintain the scaffold from which he fell. [Complaint (ROA #2). ¶ GN-1.] By stipulation and order, Intervenor filed a complaint in intervention based on its subrogation rights. [ROA ## 87, 90.] Defendant offers evidence that he merely offered the scaffolding as an option; Plaintiff's work instructions came from his employer, who participated in erection of Defendant's scaffolding. Defendant

contends Plaintiff recognized the defects in the scaffolding and Plaintiff's employer approved the scaffolding. [Defendant's COE (ROA #167), Ex. A (John Lowe Depo.) at 44:4-45:2, 121:22-23 ("And Peter interjected then. He said 'No. Here I got -- I got a scaffold you can borrow or use."), 123:3 – 125:1 ; Ex. B (Aaron Lowe Depo – as Beach Cities' PMK) at 119:4-11; Ex. C (11/22/23 text message) (BCG0001-4)("offered to let us borrow your scaffolding"), 102:24-103:8; Ex. D (Aaron Lowe 6/14/21 test message) (BCG0005).]

Further, Plaintiff's employer (Beach Cities Glass – "BCG") had its own scaffolding at its headquarters and Plaintiff has access to his own ladders. [Defendant's COE, Ex. A (John Lowe Depo) at 45:12-25. ("There is always extension ladders of different sizes on top of the rack on the outside of the van."); Ex. B (Aaron Lowe Depo. (BCG PMK)) at 90:23-91:11.]

On the day he fell (several days after the scaffolding was erected), Plaintiff did not see any of Defendant's employees. [Defendant's COE Ex. A (John Lowe Depo.) at 50:14-21.; Ex. G (John Lowe Response to Special Interrogatory 32, 33 & 34 (set 2)).]

Defendant also points to testimony that before falling, Plaintiff was aware that the scaffolding was "Wasn't good," had improper planks, and no guardrails – and that he had previously received safety training on scaffolds from his employer. [Defendant's COE Ex. A (John Lowe Depo) at 68:7-9, 117:23-25 ("I fell off the back of scaffold where a guardrail was missing."), 121:19-, 122:1. ("And I think I protested a fourth time saying, "This thing is on its way out too. What's it doing in the junk pile?"), 122:4-16. ("I told them let's go get a good set up that has casters on the bottom that you can roll the thing around, not just spikes that stick down into the dirt. So it would be ease of working off of as a guardrail, and it's planks are actual fabricated planks that have U-hooks on the top of them that kind of clip into the uprights, and it's very nice scaffold, and you can go up four levels, no problem, on the casters, and it's stable. This -- Peter's setup with Aaron's help wasn't -- wasn't good. I didn't have a job unless I got those parts up that day. There was nothing for me to do, and so that's that"), 123:3-14.(Q: "And your saw the scaffold that he had? A: Yes."); Ex. B. (Aaron Lowe Depo.) at 31:2 – 37:24; Ex. F (Tailgate/Toolbox Safety Training BCG00044 47).

In rebuttal, Plaintiff and Intervenor present evidence that Defendant insisted Plaintiff and his employer use Defendant's scaffolding because Plaintiff and his employer arrived without scaffolding (not intending to work the first day) and when they wanted to go back to get their own scaffolding Defendant objected because work was already behind and he was afraid they would not return. [Plaintiff's COE (ROA #225) Aaron Lowe Depo. (Ex. C) at

74:5–24, 88:21–24, 115:7–13; John Lowe Depo. (Ex. A) at 44:23–45:2, 115:11–122:16; 123:3–9; 125:16–126:1; 117:19–122:16; 123:3–9; 125:16–126:1.]

At the time of the incident, the project was running approximately four months behind schedule due to permitting delays. [Plaintiff's COE, Haverkamp Depo. (Ex. B) at 56:23–57:7, 67:19–24.]

Before providing his own scaffolding, Defendant retrieved a ladder from a junk pile in the backyard for BCG to use. That ladder broke under Plaintiff while he was using it. After the ladder broke, Plaintiff again requested to leave and get BCG's own scaffold. Defendant again refused, telling the Plaintiff and his employer: "No. Here I got — I got a scaffold you can borrow or use." [John Lowe Depo., 44:23–45:2, 115:11–118:16, 118:18–26, 121:19–122:3, 117:23–25, 121:20–22, 117:19–122:16; 123:3–9; 125:16–126:1, 118:18–26, 121:19–122:3; Aaron Lowe Depo., 75:12–22; Aaron Lowe Depo., 74:5–24, 75:12–22, 88:21–24, 115:7–13.]

When Plaintiff returned to the jobsite on June 23, the scaffolding remained exactly as it had been left; no one told Plaintiff that he should not use the was never told to set up new scaffolding or to use other equipment or ladders other than Haverkamp's scaffold. [John Lowe Depo., 53:2–8; John Lowe Decl., ¶¶ 2–3.]

Legal Standard for Summary Judgment

"A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding." Code Civ. Proc., § 437c, subd. (a)(1).

"A cause of action has no merit if either of the following exists: (1) One or more of the elements of the cause of action cannot be separately established, even if that element is separately pleaded. (2) A defendant establishes an affirmative defense to that cause of action." Code Civ. Proc., § 437c, subd. (o).

A defendant meets his "burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action." Code Civ. Proc., § 437c, subd. (p)(2); *see, Brantley v. Pisaro* (1996) 42 Cal.App.4th 1591, 1597 (A cause of action cannot be established if the undisputed facts presented by the defendant prove the contrary of the plaintiff's allegations as a matter of law.); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 854–855 (A defendant can show that a cause of action cannot be established by submitting evidence, such as discovery admissions and responses,

that plaintiff does not have and cannot reasonably obtain evidence to establish an essential element of his cause of action.); *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590 (finding moving defendant may show plaintiff's lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery); see, *Scheiding v. Dinwiddie Constr. Co.* (1999) 69 Cal.App.4th 64, 80-81 (finding *Union Bank* rule only applies where discovery requests are broad enough to elicit all such information); *Krantz v. BT Visual Images, L.L.C.* (2001) 89 Cal.App.4th 164, 173 (citing *Hagen v. Hickenbottom* (1995) 41 Cal.App.4th 168, 186) ("[T]he moving party's 'simply pointing to' the absence of evidence supporting plaintiff's position is not in itself enough to obtain summary judgment in its favor. There must be some 'affirmative showing' by the moving defendant that plaintiff could not obtain such evidence, before summary judgment would be proper.").

Once the defendant meets that burden, the burden shifts to the plaintiff "to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." Code Civ. Proc., § 437c, subd. (p)(2).

Plaintiff "shall not rely upon the mere allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto." Code Civ. Proc., § 437c, subd. (p)(2). Plaintiff must present substantial and admissible evidence creating a triable issue. *Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163. Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. *Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.

The motion shall be supported by affidavits, declarations, admissions, answers to interrogatories, depositions, and matters of which judicial notice shall or may be taken." Code Civ. Proc., § 437c, subd. (b)(1).

The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court, and all inferences reasonably deducible from the evidence, except summary judgment shall not be granted by the court based on inferences reasonably deducible from

the evidence if contradicted by other inferences or evidence that raise a triable issue as to any material fact. Code Civ. Proc., § 437c, subd. (c).

The scope of this burden is determined by the allegations of the plaintiff's complaint. *FPI Development v. Nakashima* (1991) 231 Cal.App.3d 367, 381-382 (pleadings serve as the outer measure of materiality in a summary judgment motion); *580 Folsom Associates v. Prometheus Development Co.* (1990) 223 Cal.App.3d 1, 18-19 (defendant only required to defeat allegations reasonably contained in the complaint).

Discussion

Under the *Privette* doctrine, "a hirer is typically not liable for injuries sustained by an independent contractor or its workers while on the job." *Gonzalez v. Mathis* (2021) 12 Cal.5th 29, 41. As originally articulated, the doctrine was grounded on the principle that it would be unfair for the hirer of an independent contractor to be held liable for injuries to a contractor's employee when the contractor's own liability would be capped by the limits of its workers' compensation coverage. *Privette v. Superior Court* (1993) 5 Cal.4th 689, 698. More recently, the California Supreme Court has emphasized "delegation" as the "key principle" underlying the *Privette* doctrine, reasoning as follows: "Because the hirer presumptively delegates to the independent contractor the authority to determine the manner in which the work is to be performed, the contractor also assumes the responsibility to ensure that the worksite is safe, and the work is performed safely." *Gonzalez, supra*, at 41.

An exception to the *Privette* doctrine exists when a hirer fails to effectively delegate all responsibility for workplace safety to the independent contractor. *Gonzalez, supra*, 12 Cal.5th at p. 42. As relevant here, under the retained control exception set forth in *Hooker v. Department of Transportation* (2002) 27 Cal.4th 198, 202, the hirer may be liable to a contractor's employee where the hirer "exercises ... retained control over any part of the contractor's work in a manner that *affirmatively contributes* to the worker's injuries." *Gonzalez, supra*, at p. 42 (Italics added.)

For the retained control exception to apply, there must be some indication the hirer *directed* that the contractor perform its work in a certain way or *interfered* with the means and methods by which the work was to be accomplished. *Hooker, supra*, 27 Cal.4th at 214–215. Thus, in *McKown v. Wal-Mart Stores, Inc.* (2002) 27 Cal.4th 219, which is directly relevant here, the California Supreme Court imposed liability on a hirer who requested that an independent

contractor use the hirer's own defective forklift in performing the contractor's work. *McKown, supra*, 27 Cal.4th at 225.

In *McKown*, the California Supreme Court applied the retained-control exception to affirm a judgment holding a hirer, Wal-Mart, liable for injuries an independent contractor's worker suffered while using defective equipment. *McKown, supra*, 27 Cal.4th at 225–226. Wal-Mart had hired the plaintiff's employer to install sound systems in its stores and had "requested that the contractor use Wal-Mart's forklifts whenever possible in performing the work." *Id.* at p. 223. The forklift that Wal-Mart furnished was missing one of two chains that secured an overhead work platform to the forklift. *Ibid.* "After discussing the advisability of using the forklift without a chain securing the platform," the plaintiff and his co-worker decided to use the equipment as Wal-Mart had requested. *Ibid.* While his co-worker was driving the forklift and the plaintiff was working on the platform, the platform hit a ceiling pipe, disengaged from the forklift, and fell about 12 to 15 feet to the floor with the plaintiff on it. *Ibid.* A jury found Wal-Mart was negligent in providing unsafe equipment and allocated 55 percent of the responsibility for the accident to the plaintiff's employer, 23 percent to Wal-Mart, 15 percent to the manufacturer of the equipment, and 7 percent to the plaintiff himself. *Ibid.*

Wal-Mart challenged the judgment, arguing there was insufficient evidence to establish the affirmative contribution element of the retained-control exception because Wal-Mart had "merely requested, and did not insist, the contractor use its forklift." *McKown, supra*, 27 Cal.4th at 225. The California Supreme Court rejected the argument.

Although the plaintiff admitted that Wal-Mart's "request was understood not to be a directive" (*id.* at p. 223), the *McKown* court concluded the request was nonetheless sufficient to constitute an inducement that interfered with the contractor's choice of the means and methods by which the work was to be accomplished. *Id.* at 225–226. The California Supreme Court explained: "The contractor had several contracts with Wal-Mart for the installation of sound systems in Wal-Mart stores, and Wal-Mart, the world's largest retailer, was a customer the contractor was presumably loath to displease.... Wal-Mart presumably believed the forklift it provided was safe, and plaintiff may well have believed that refusal to use it would have generated ill will. The extra expense of renting a forklift would have been chargeable to Wal-Mart. Moreover, renting a forklift would have entailed delaying the installation project for at least 24 hours Admittedly, Wal-Mart was not the only one at fault, but then the jury's verdict reflected that." *Ibid.*; cf. *Hooker, supra*, 27 Cal.4th at 210–211.

This reasoning of the California Supreme Court is directly applicable here. *See also Brown v. Beach House Design & Development* (2022) 85 Cal.App.5th 516, 529 (“As we have said, a general contractor may exercise retained control over a jobsite by ‘requesting [a subcontractor] to use the [general contractor’s] own defective equipment in performing the work.’ (*Gonzalez v. Mathis, supra*, 12 Cal.5th at pp. 46–47, 282 Cal.Rptr.3d 658, 493 P.3d 212, citing *McKown, supra*, 27 Cal.4th at pp. 225, 115 Cal.Rptr.2d 868, 38 P.3d 1094).”

Here, Defendant’s evidence is that he “offered” use of his scaffolding. [Defendant’s COE (ROA #167), Ex. A (John Lowe Depo.) at 44:4-45:2, 121:22-23 (“And Peter interjected then. He said ‘No. Here I got -- I got a scaffold you can borrow or use.”), 123:3 – 125:1 ; Ex. B (Aaron Lowe Depo – as Beach Cities’ PMK) at 119:4-11; Ex. C (11/22/23 text message) (BCG0001-4)(“offered to let us borrow your scaffolding”), 102:24-103:8; Ex. D (Aaron Lowe 6/14/21 test message)(BCG0005).]

Plaintiff offers evidence that Defendant insisted, rather than offered, that Plaintiff use Defendant’s scaffolding rather than Plaintiff returning to Beach Cities Glass’s headquarters to get their scaffolding because Defendant did not want any further delays in a project that was already behind schedule. [Plaintiff’s COE (ROA #225) Aaron Lowe Depo. (Ex. C) at 74:5–24, 88:21 24, 115:7–13; John Lowe Depo. (Ex. A) at 44:23-45:2, 115:11-122:16; 123:3-9; 125:16-126:1; 117:19 122:16; 123:3-9; 125:16-126:1; Haverkamp Depo. (Ex. B) at 56:23–57:7, 67:19–24.]

On the day Plaintiff fell from the scaffolding and was injured, though he did not receive instructions to use Defendant’s scaffolding, that scaffolding remained in place and exactly as it had been left; no one told Plaintiff that he should not use it, that he should set up new scaffolding or use other equipment or ladders other than Defendant’s scaffold. [Defendant’s COE Ex. A (John Lowe Depo.) at 50:14-21.; Ex. G (John Lowe Response to Special Interrogatory 32, 33 & 34 (set 2)); John Lowe Depo., 53:2–8; John Lowe Decl., ¶¶ 2-3.]

These facts track those in *McKown*. As a result, this evidence at least raises a triable issue of fact whether Plaintiff’s claim falls within the “retained control” exception to the *Privette* Doctrine.

Defendant relies heavily on *Gonzalez v. Mathis* (2021) 12 Cal.5th 29 to argue Plaintiff’s recognition of the lack of guardrails on the scaffolding bars his claim. First, this is contrary to *McKown*, where the California Supreme Court found the hirer liable even where the

contractor recognized the lack of safety features in the proffered equipment. Second, *Gonzalez* is distinguishable because it dealt with a premises liability claim involving a known hazard rather than the hirer's equipment.

If there is a known hazard on a property that the independent contractor cannot remedy or protect against through the adoption of reasonable safety precautions, and the contractor or one of its workers is injured after proceeding to do the work anyway, is the landowner liable to the contractor in tort? We conclude that, pursuant to *Privette*'s strong presumption that a hirer delegates to an independent contractor all responsibility for workplace safety, a landowner owes no duty to the contractor or its workers to remedy a known hazard on the premises or take other measures that might provide protection against the hazard. *Privette*'s "no duty" rule applies even where the contractor is unable to minimize or avoid the danger through the adoption of reasonable safety precautions. **A landowner does not fail to delegate responsibility to the contractor for workplace safety simply because there exists a known hazard on the premises that cannot be readily addressed by the contractor.**

Gonzalez v. Mathis (2021) 12 Cal.5th 29, 45 (bold added).

Defendant also objects that, according to his description, Plaintiff's discovery responses were inconsistent as to the force of Defendant's "offer" of his scaffolding equipment. [See Reply (ROA #239) at 2-3.] But just adds to the conflict in the evidence. There is no rule relating to summary judgment motions against a plaintiff giving conflicting discovery responses. This is something the trier of fact can weigh.

The rule is that a plaintiff defending against a motion for summary judgment may not create a triable issue of fact by submitting a declaration that contradicts his prior, unequivocal discovery responses. *Whitmire v. Ingersoll-Rand Co.* (2010) 184 Cal.App.4th 1078, 1087-88 (discussing cases addressing issue and setting out parameters). See also *D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 21-22; *Scheidig v. Dinwiddie Construction Co.* (1999) 59 Cal.App.4th 64, 76; *Scalf v. D.B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1522. See also *Scalf v. D.B. Log Homes, Inc.* (2005) 128 Cal.App.5th 1510, 1521-1522 (distinguishing admissions in deposition testimony from written discovery responses and finding the former can be weighty and not properly treated as

		conclusive judicial admission because not necessarily complete or studied or overseen by counsel and reversing summary judgment); <i>Scheiding, supra</i>, at 77-78; <i>Price v. Wells Fargo Bank</i> (1989) 213 Cal. App. 3d 465, 483; <i>Benavidez v. San Jose Police Dept.</i> (1999) 71 Cal. App. 4th 853, 861-61. There is no claim that Plaintiff has done that here. Accordingly, Defendant's motion for summary judgment is denied. Again, <i>see Brown v. Beach House Design & Development</i> (2022) 85 Cal.App.5th 516, 531 ("Taken together, this evidence would allow a reasonable jury to conclude that Beach House undertook to provide scaffolding for the use of its subcontractors, including plaintiff.").
10.	2024-1424606 Vega vs. Bearley	Case Management Conference The demurrer of plaintiffs Philip Vega, Kevin Vega, and Contractors and Developers Bonding & Insurance Services Inc. to defendant Matthew Caldwell's answer is overruled in part and sustained in part as set forth below. <u>Legal Standard</u> An answer to a complaint shall contain: (1) the general or specific denial of the material allegations of the complaint controverted by the defendant and (2) a statement of any new matter constituting a defense. Code Civ. Proc. § 431.30(b). The same pleading of ultimate facts rather than legal conclusions is required in pleading an answer as in pleading a complaint. <i>See FPI Development, Inc. v. Nakashimi</i> (1991) 231 Cal. App. 3d 367, 384 (stating rule that answer must allege facts "averred as carefully and with as much detail as the facts which constitute the cause of action and which are alleged in the complaint."). The defenses shall be separately stated and are to refer to the causes of action which they are intended to answer. Code Civ. Proc. § 431.30(g). The Rutter Guide says that a demurrer can be an effective tool for eliminating "boilerplate" affirmative defenses that often appear in answers (e.g., "waiver," "estoppel," "unclean hands," etc.). A demurrer may be made on the ground of failure to plead sufficient facts to constitute a defense. In general, whatever a defendant bears the burden of proving at trial is "new matter" (also referred to as an "affirmative defense") and thus must be specially pleaded in the answer. <i>See California Academy of Sciences v. County of Fresno</i> (1987) 192 Cal.App.3d 1436, 1442 (finding failure to plead equitable defenses waived those

defenses). In other words, new matter is matter alleged for the first time in the answer, creating a new issue in the case not presented by the complaint. *Rancho Santa Margarita v. Vail* (1938) 11 Cal.2d 501, 543; *Coles v. Soulsby* (1862) 21 Cal. 47, 50 (“new matter” is “that matter which the defendant must affirmatively establish”).

Again, a defendant raising such new matters must allege ultimate facts sufficient to prove the defense with the same level of detail that a plaintiff is required to allege ultimate facts to support a cause of action in a complaint. *FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 384; 5 Witkin, Cal. Proc. 5th (2008) Pleading, § 1082, p. 515.

The affirmative form in which the defendant phrases his or her answering averments does not make them new matter. If they merely contradict essential allegations of the complaint, they are simply denials in affirmative form (“argumentative denials”). *Frisch v. Caler* (1862) 21 C. 71, 74; *Goddard v. Fulton* (1863) 21 C. 430, 436; *Rancho Santa Margarita v. Vail* (1938) 11 C.2d 501, 543.

A party against whom an answer has been filed may object, by demurrer as provided in Section 430.30, to the answer upon any one or more of the following grounds:

- (a) The answer does not state facts sufficient to constitute a defense.
- (b) The answer is uncertain. As used in this subdivision, “uncertain” includes ambiguous and unintelligible.
- (c) Where the answer pleads a contract, it cannot be ascertained from the answer whether the contract is written or oral.

Code Civ. Proc. § 430.20. “Generally speaking, the determination whether an answer states a defense is governed by the same principles which are applicable in determining if a complaint states a cause of action.” *South Shore Land Co. v. Petersen* (1964) 226 Cal. App. 2d 725, 732.

A determination of the sufficiency of an answer requires an examination of the complaint because the adequacy of the answer is with reference to the complaint it purports to answer. *Id.* at 733. Weil & Brown specifically notes that “[a] demurrer can be an effective tool for eliminating ‘boilerplate’ affirmative defenses that often appear in answers.” *Weil & Brown*, Cal. Prac. Guide, *Civil Procedure before Trial* (Rutter 2010) § 7:35:1.

Further, uncertainty is a disfavored ground on a demurrer. *See*, Rutter, *Civil Procedure Before Trial*, Section 7:85. Here, Plaintiff has not identified any particular uncertainty created by any allegations in the affirmative defenses; and the only argument heading in the memorandum of points and authorities is that

Defendant failed to plead sufficient facts. Accordingly, Plaintiff's purported demurrer for uncertainty is not discussed further here.

A demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading, but is directed at the uncertainty existing in the allegations actually made. *People v. Lim* (1941) 18 Cal. 2d 872, 883.

A demurrer to an answer must be filed 10 days from the answer. Code Civ. Proc. § 430.040(b). This time is extended by five days when the answer is served by mail in California – as was the answer here. Code Civ. Proc. § 1013(a).

Discussion

Timing of Plaintiffs' Demurrer

Plaintiffs filed their demurrer on 2/25/26, two days beyond the 12 days (10 + 2 business days for email). Defendant's counsel notes that she gave them an extension but now believes that they did not have the power to extend the deadline.

Even if this were correct, they did in fact make that agreement and Plaintiffs relied on it. It would be inequitable to enforce the 10 day limit – and Defendant is equitably estopped from asserting it. [*Sears, Roebuck & Co. v. National Union Fire Ins. Co. of Pittsburg* \(2005\) 131 Cal. App. 4th 1342, 1351](#). See also *Pelton-Shepard industries, Inc. v. Delta Packaging Products, Inc.* (2008) 165 Cal. App. 4th 1568, 1585 (recognizing applicability of equitable estoppel to discovery motion deadlines but finding inapplicable because party's assurances and delaying conduct not ultimately the reason motion was too late).

Affirmative Defenses

In their notice, Plaintiffs state that they are demurring for uncertainty as well as for failure to allege sufficient fact to constitute a defense. But in the demurrers themselves, Plaintiffs only assert failure to allege sufficient facts. Further, nowhere in the supporting memorandum do they identify any specific portion of the answer that is uncertain. To the extent Plaintiffs demurred for uncertainty, that demurrer is overruled.

First Affirmative Defense for Failure to State

For the defense, Defendant alleges that Plaintiffs have not alleged sufficient facts in their FAC to state a cause of action against Defendant. That is an allegation of ultimate fact and is sufficient. Taken in context with the FAC, it is entirely clear.

The demurrer to this affirmative defense is overruled.

Second Affirmative Defense of Truth

Truth is a defense to a slander claim. Here Defendant alleges his statement were true. *Campanelli v. Regents of University of California* (1996) 44 Cal.App.4th 572, 581–582. *See also* Code Civ. Proc. §461. That is sufficient allegation of the ultimate fact.

The demurrer to this affirmative defense is overruled.

Third Affirmative Defense of Opinion

Opinions are generally not actionable as defamation. *Franklin v. Dynamic Details, Inc.* (2004) 116 Cal.App.4th 375, 384–385. For this defense Defendant alleges his statements were opinion. This is sufficient allegation of the ultimate fact.

The demurrer to this affirmative defense is overruled.

Fourth Affirmative Defense for Common Interest Privilege

Civil Code section 47(c)(1) provides in relevant part: “A privileged publication or broadcast is one made: [¶] ... [¶] (c) In a communication, without malice, to a person interested therein, (1) by one who is also interested....”

Here, Defendant has alleged his statements “were made without malice to a person interested in the subject matter and defendant Matthew Caldwell is a person who is also interested in the subject matter . . .” This is sufficient allegation of the ultimate facts.

The demurrer to this affirmative defense is overruled.

Fifth Affirmative Defense of Self-Defense Privilege

Restatement (Second) of Torts, section 594, recognizes a conditional privilege for statements necessary to protect the speaker’s interest, as follows: “A conditional privilege exists under the rule stated in this Section when the person making the publication reasonably believes that his interest in his own reputation has been unlawfully invaded by another person and that the defamatory matter that he publishes about the other is reasonably necessary to defend himself.

The privilege here is analogous to that of self-defense against battery, assault or false imprisonment Thus the defendant may publish in an appropriate manner anything that he reasonably believes to be necessary to defend his own reputation against the defamation of another, including the statement that his accuser is an unmitigated liar.” *See also W. Broad. Co. v. Times-Mirror Co.* (1936) 14 Cal.App.2d 120, 124 (discounting liability where statement made in response to prior accusation).

Defendant alleges his “statements were made to defend his reputation against another’s defamation.” This is sufficient allegation of the ultimate facts.

The demurrer to this affirmative defense is overruled.

Sixth Affirmative Defense of Lack of Damages

Here, Defendant alleges that “Plaintiffs have not suffered any damages as a result of any actions taken by defendant Matthew Caldwell” Again, this is sufficient allegation of the ultimate facts.

The demurrer to this affirmative defense is overruled.

Seventh Affirmative Defense of Lack of Causation

For this defense, Defendant alleges that his “allegedly defamatory statements were not a substantial factor in causing harm or damages to Plaintiffs.” This is sufficient allegation of the ultimate facts.

The demurrer to this affirmative defense is overruled.

Eighth Affirmative Defense of Statute of Limitations

Code of Civil Procedure section 458 governs the pleading of a statute of limitations defense. It provides:

“Statute of limitations, how pleaded. In pleading the Statute of Limitations it is not necessary to state the facts showing the defense, but it may be stated generally that the cause of action is barred by the provisions of Section ____ (giving the number of the section and subdivision thereof, if it is so divided, relied upon) of the Code of Civil Procedure; and if such allegation be controverted, the party pleading must establish, on the trial, the facts showing that the cause of action is so barred.” [Emphasis added.]

Thus, while no facts need be pleaded, a defendant must plead the subdivision of statutes identified in the affirmative defense.

Defendant has done this. He alleges Code of Civil Procedure section 340(c).

The demurrer to this affirmative defense is overruled.

Ninth Affirmative Defense for Laches, Waiver, Estoppel

Defendant does not allege any facts for this affirmative defense. In his opposition he states that Plaintiffs are in a better position to know these facts so he need not plead evidentiary facts. But he

		should at least plead the ultimate facts showing grounds for these defenses. The demurrer to this affirmative defense is sustained with leave for Defendant to bring a motion to amend when and if Defendant discovers facts sufficient to support a defense of laches, waiver, or estoppel. <i>Tenth Affirmative Defense for Failure to State a Claim for Punitive Damages</i> Here, Defendant alleges that “[t]he first amended complaint fails to state sufficient facts to constitute a valid claim for punitive or exemplary damages.” This is a legal conclusion only. Plaintiffs’ objection for failure to allege sufficient facts does not really apply to what is essentially a pleading issue. The demurrer to this affirmative defense is overruled. <i>Eleventh Affirmative Defense for Failure to Set Out Claims with Sufficient Particularity</i> Defendant alleges here that “Plaintiffs have failed to set out their claims with sufficient particularity to permit defendant Matthew Caldwell to raise all appropriate defenses and, thus, defendant Matthew Caldwell reserves the right to assert additional defenses as a factual basis for these claims or defenses becomes known.” (Bold added.) This is not really an affirmative defense but a reservation of potential defenses, so Plaintiffs’ failure to allege sufficient facts objection really does not make sense. The demurrer to this affirmative defense is overruled.
11.	2024-1441105 Vanasopha vs. Bearley	Case Management Conference, only.
12.	2025-1461619 Garcia vs. General Motors, LLC	Case Management Conference, only.

13.	2025-1501284 Wei vs. Toyota Motor Sales, U.S.A., Inc.	Case Management Conference The general demurrer by Defendant Toyota Motor Sales, U.S.A., Inc. (“Manufacturer”) to the sixth cause of action for fraudulent inducement – concealment alleged in the First Amended Complaint filed by Plaintiff Daniel Wei (“Plaintiff”) is sustained. Manufacturer’s motion to strike Plaintiff’s prayer for punitive damages from Plaintiff’s Complaint is granted with leave to amend. Manufacturer’s unopposed request for the Court to take judicial notice of the Second Amended Complaint filed in <i>Dhital v. Nissan North America, Inc.</i> is granted. (Evid. Code, § 452, subd. (d).) However, the Court may not take judicial notice of the truth of the matter stated in the documents. (<i>Richtek USA, Inc. v. uPI Semiconductor Corp.</i> (2015) 242 Cal.App.4th 651, 659-660.) Judicial notice of other court records and files is limited to matters that are indisputably true. This generally means judicial notice is limited to the orders and judgments in the other court file, as distinguished from the contents of documents filed therein. (<i>Fremont Indem. Co. v. Fremont Gen. Corp.</i> (2007) 148 Cal.App.4th 97, 113.) The court cannot accept as true the contents of pleadings or exhibits in the other action just because they are part of the court record or file. Such documents are inadmissible hearsay. (<i>Day v. Sharp</i> (1975) 50 Cal.App.3d 904, 914.) <u>DEMURRER</u> The elements of a cause of action for fraudulent inducement are (1) a fraudulent representation; (2) to induce contract (or forbearance); and (3) that is not a part of the contract. (<i>A. A. Baxter Corp. v. Colt Industries, Inc.</i> (1970) 10 Cal.App.3d 144, 153-154.) “The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 40; see, <i>Boschma v. Home Loan Center, Inc.</i> (2011) 198 Cal.App.4th 230, 248.) “A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a
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disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)...Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.'... 'Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.'" (*Rattagan v. Uber Technologies, Inc.*, 17 Cal.5th at 40-41; see, *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 867 ["A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent."].)

"There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]" (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336, citing *Heliotis v. Schuman* (1986) 181 Cal.App.3d 646, 651.)

"Suppression of a material fact is actionable when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship." (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843.)

Every element of fraud must be pleaded with specificity. The particularity requirement for fraud requires the pleading of facts showing how, when, where, to whom, and by what means the representations were made. (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 73.) This is to provide the defendant with notice and to give the court enough information to assess whether there is a foundation for the charge of fraud. (*Committee on Children's*

Television, Inc. v. General Foods Corp. (1983) 35 Cal. 3d 197, 216.) The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) Nonetheless, “[l]ess specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.” (*Committee on Children’s Television*, 35 Cal. 3d at 216 [citation and internal quote marks omitted].)

“California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim...For instance, in a case such as this, the court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties’ contract. If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts, as Rattagan has alleged here, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (*Rattagan v. Uber Technologies, Inc.*, 17 Cal.5th at 43-44.)

Plaintiff did not allege sufficient facts with the necessary specificity to state this cause of action. (*See, Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844.) Accordingly, the demurrer is sustained with 15 days leave to amend.

In light of the ruling above, the Court declines to reach the merits of whether the sixth cause of action is barred by the economic loss rule.

MOTION TO STRIKE

Pursuant to Code of Civil Procedure section 436, the Court may:

- (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
- (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

		“The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437, subd. (a).) “[J]udges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (<i>Clauson v. Superior Court</i> (1998) 67 Cal.App.4th 1253, 1255.) Plaintiff may recover exemplary damages in an action for the breach of an obligation not arising from contract if Plaintiff proves by clear and convincing evidence that Defendants are “guilty of oppression, fraud, or malice.” (Civ. Code § 3294, subd. (a).) Malice is defined as “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code § 3294, subd. (c)(1).) Oppression is defined as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code § 3294, subd. (c)(2).) Fraud is defined as “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294, subd. (c)(3).) Punitive damages cannot be pled in conclusory terms, instead the facts supporting a claim for punitive damages must be set out clearly, concisely, and with particularity. (<i>Smith v. Superior Court</i> (1992) 10 Cal.App.4th 1033, 1041-1042.) However, “it has long been recognized that ‘(t)he distinction between conclusions of law and ultimate facts is not at all clear and involves at most a matter of degree.’” (<i>Perkins v. Superior Court</i> (1981) 117 Cal.App.3d 1, 6.) “What is important is that the complaint as a whole contain sufficient facts to apprise the defendant of the basis upon which the plaintiff is seeking relief.” (<i>Id.</i>) In ruling on a motion to strike, the Court should “read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (<i>Clauson v. Superior Court</i> (1998) 67 Cal.App.4th 1253, 1255; <i>See Perkins</i>, 117 Cal.App.3d at 6 [“stricken language must be read not in isolation, but in the context of the facts alleged in the rest of petitioner’s complaint.”].) “When the defendant is a corporation, [a]n award of punitive damages against a corporation...must rest on the malice of the corporation’s employees.” (<i>Wilson v. Southern California Edison Co.</i> (2015) 234 Cal.App.4th 123, 164 [citing <i>Cruz v. HomeBase</i> (2000) 83 Cal.App.4th 160, 167].)
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		Plaintiff did not allege sufficient facts to support Plaintiff's request for punitive damages. Plaintiff did not allege sufficient facts to state Plaintiff's sixth cause of action for fraudulent inducement concealment. Plaintiff did not allege sufficient facts to seek punitive damages against a corporation. Plaintiff may not seek punitive damages for a Song Beverly Act violation. The Song-Beverly Act provides for civil remedies and does not provide for punitive damages. (Civ. Code, § 1794.) California courts have explained that civil penalties "have been likened, by courts, to punitive damages." (<i>Suman v. Superior Court</i> (1995) 39 Cal.App.4th 1309, 1317, citing <i>Kwan v. Mercedes-Benz of North America, Inc.</i> (1994) 23 Cal.App.4th 174, 184.) A plaintiff may not recover both civil penalties <i>and</i> punitive damages "based upon substantially the same conduct." (<i>Troensegaard v. Silvercrest Industries, Inc.</i> (1985) 175 Cal.App.3d 218, 226.) Accordingly, Manufacturer's motion to strike is granted with 15 days leave to amend.
15.	2025-1517586 Je Beaute, Inc. vs. Guo	The motion by Michael Israel of Adamantium Legal APC, to be relieved as counsel of record for Jingyi Guo, is granted. Upon the signing of the order, counsel shall serve the signed order on the client and all parties that have appeared. Michael Israel of Adamantium Legal APC will be relieved as counsel of record for Jingyi Guo, effective upon the filing of the proof of service of the signed order upon the client and all parties. The Court declines Guo's request for the Court to issue an order directing counsel to turn over her client file, because such an order is not necessary. An attorney has a duty to promptly release a client's file upon termination of employment, at the client's request. (Cal. R. Prof. Conduct Rule 1.16.) Failure to do so may be cause for discipline from the State Bar. (Cal. Prac. Guide Prof. Resp. & Liability at ¶ 10:333.) Adamantium Legal APC is ordered to give notice of the ruling.